

Artificial Intelligence (AI) Policy

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1. Policy statement

KPMG Australia (KPMG) is committed to harnessing the transformative power of artificial intelligence (AI) in accordance with the firm's strategic objectives, and it is committed to doing so in a responsible way according to the pillars of KPMG's Trusted AI Framework. The AI Policy (Policy) provides an outline of the firm's AI Management System. It details KPMG's approach to ethical and responsible use and development of AI, to ensure alignment with the firm's goals and values. It also aims to establish clear accountability and governance structures, promoting transparency and trustworthiness in KPMG's AI Management System. All users of AI solutions in KPMG, including partners, employees, contractors, and sub-contractors, are responsible for understanding the requirements in this Policy and following the guidance and direction of the firm.

2. Rationale / Objectives

The Policy aims to:

- ensure AI solutions are designed, developed, procured, implemented, and used in accordance with the principles and pillars of KPMG's Trusted AI Framework;
- articulate how Partners, employees, contractors and subcontractors are expected to use AI solutions and what processes are in place to help them achieve the benefit of AI while being responsible; and

- serve as a foundation for promoting innovation in accordance with KPMG's strategic objectives while upholding ethical standards, ultimately aligning our AI initiatives with our organisational values and societal responsibilities.

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3. Policy Overview

3.1 Scope

The Policy:

- applies to all KPMG users (including Fiji and PNG) of AI solutions for both internal & client facing purposes. This applies to AI solutions developed by KPMG as well as use of any acquired / standard AI solutions (e.g., Microsoft Co-pilot in teams);
- aligns to the inclusive, ethical speak-up culture at KPMG;
- extends to all current and future AI solutions designed, developed and/or used by Partners, employees, contractors and subcontractors;
- is not intended to replace or supersede existing relevant policies (e.g., Privacy Policy). Instead, it works in conjunction with existing policies;
- sets out what KPMG users must be aware of prior to developing, deploying and / or using AI solutions in KPMG; and
- provides information on how to report any complaints and provides details on the escalation process.

3.2 Audience:

- It applies to all parts of KPMG (including Fiji and PNG) and all partners, employees and to all contractors and suppliers/ vendors working for or at KPMG in relation to all business activities.

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4. Guiding Principles

4.1 Laws

The design, development, implementation, and use of AI at KPMG are subject to compliance with relevant Australian laws and regulation, including privacy and data use, consumer protection, work health and safety, anti-discrimination, cyber security, international human right laws and corporations' laws and must abide by the laws of other jurisdictions as applicable.

4.2 Policies

The AI Policy will work in conjunction with all other relevant KPMG policies. The design, development, implementation and use of AI solutions are subject to compliance with other policies in KPMG [Policies - Policies \(sharepoint.com\)](#). Those policies include, but are not limited to, the Global Code of Conduct, Global Information Security Policy, Global Quality and Risk Management Manual, ethical decision-making framework, Acceptable Use Policy (AUP), Complaint Management Policy, Confidentiality Policy, Data Classification Standard, Document Management Policy, Environmental Policy, Human Rights Policy, Privacy Policy, Procurement Policy, Respect@Work, and Whistleblower Policy. The ways these policies apply to KPMG's AI management system are indicated throughout the AI Policy.

4.3 Trusted AI Principles

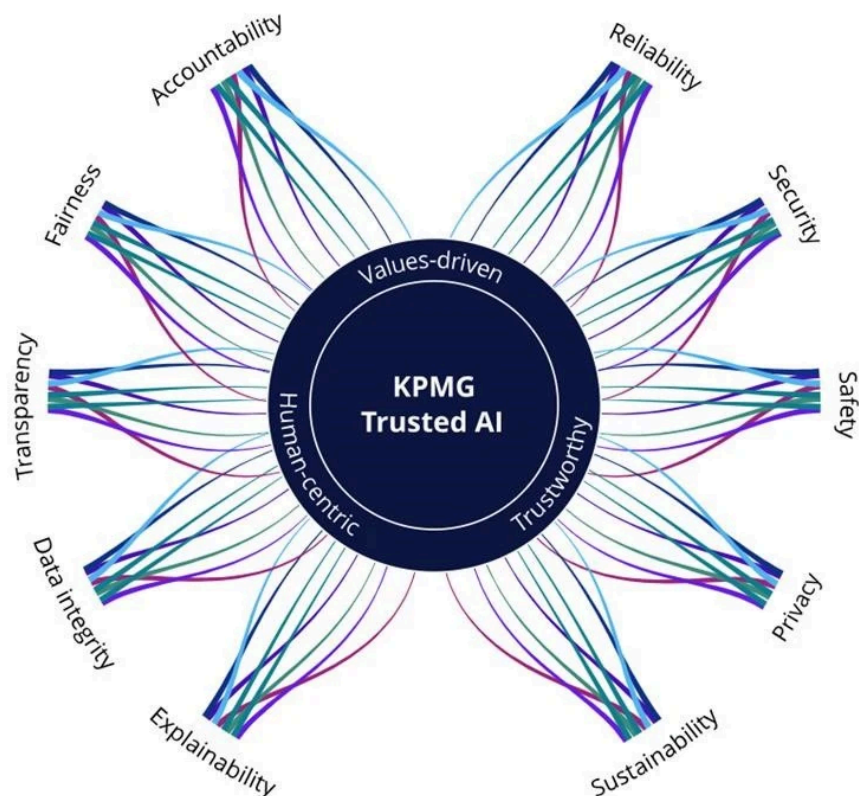
As articulated in the [Trusted AI Framework](#), KPMG is committed to a set of principles and pillars that together guide the development, implementation, and management of AI solutions in a way that is responsible and ethical.

Throughout the firm our approach to Trusted AI includes foundational principles that guide our aspirations in this space, demonstrating our commitment to develop and use AI responsibly:

Values - Driven	Human Centric	Trustworthy
We implement AI as guided by our values . They are our differentiator and shape a culture that is open, inclusive and operates to the highest ethical standards. Our values inform our day-to-day behaviours and help us navigate emerging opportunities and challenges.	We prioritise human impact as we deploy AI and recognise the need of our clients and our people. We are embracing this technology to empower and augment human capabilities - to unleash creativity and improve productivity in a way that allows people to re-imagine how they spend their days.	We will adhere to the principles and the ethical pillars that guide how and why we use AI across its lifecycle. We will strive to ensure our data acquisition, governance and usage practises upholds ethical standard and complies with applicable privacy and data protection regulations, as well as confidentiality requirements.

KPMG's Trusted AI foundational principles

Supporting the foundational principles of the firm's Trusted AI approach are the 10 AI pillars shown in the diagram below.



KPMG Trusted AI Framework

KPMG Trusted AI framework

Implementation of the Trusted AI Framework is informed by all relevant KPMG policies as amended over time. For example,

- The principle of 'human-centred' is applied consistent with KPMG's commitment to respect human rights, including our focus on labour rights; inclusion, diversity and equity; Indigenous rights; privacy; and health and safety. [Human Rights policy](#);
- Implementation of the 'data integrity' pillar is informed by the Data Classification Security Standard and other relevant data guidance and policies;
- The 'privacy' pillar is applied in align with the KPMG Privacy Policy and the 'sustainability' pillar is applied in align with the KPMG Environmental Policy; and
- The 'sustainability' pillar is applied in align with KPMG's Environmental Policy, which reflects a clear commitment to embedding environmental sustainability practices across business strategy, operations, supply chain and workforce.

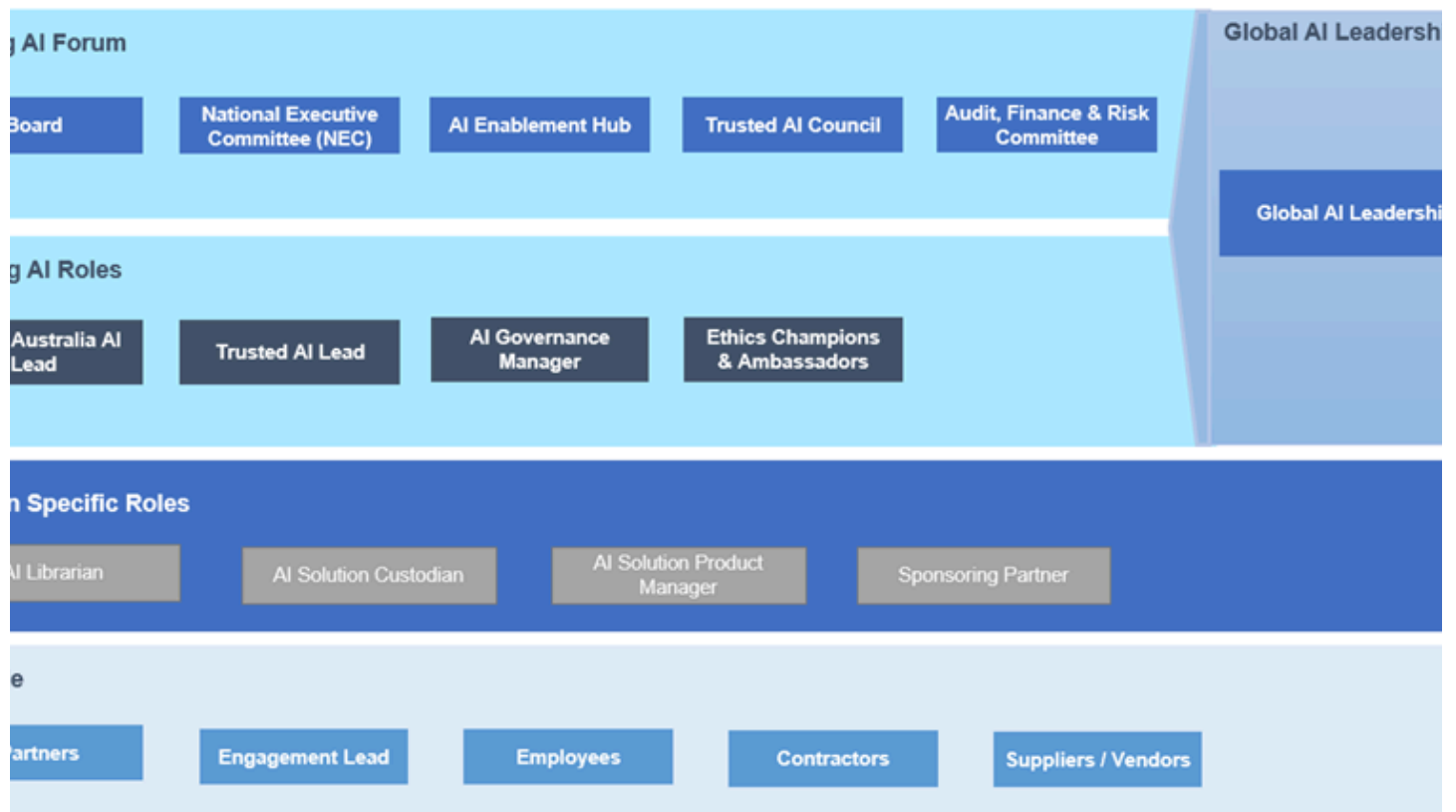
We recognise the field of AI is rapidly evolving, as is KPMG's approach. As the technology advances and legal, ethical, risk and regulatory standards mature, we will continue to review and evolve our approach as necessary.

Refer to the [Trusted AI Quick Start Guide](#) for more information.

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5. Governance, Roles and Responsibilities

5.1 Governance Structure



- **Governing AI Forum**

- Board
- National Executive Committee (NEC)
- Trusted AI Council
- AI Enablement Hub
- Audit, Finance & Risk Committee

- **Governing AI Roles**

- KPMG Australia AI Lead
- Trusted AI Lead
- Ethics Champions and Ambassadors
- Ethics Champions & Ambassadors

- **AI Solutions Specific roles**

- AI Librarian
- AI Solution Custodian
- AI Solution Product Manager

- Sponsoring Partner

- **Our People**

- Partners
- Engagement Lead
- Employees
- Contractors
- Suppliers/Vendors

5.2 Roles and Responsibilities

The roles and responsibilities described below relate specifically to the firm's AI governance and management system.

Role	Responsibilities
Board	Oversee the management and conduct of the firm. Existing responsibilities include AI, like all other matters of the firm.
National Executive Committee (NEC)	• Provide management oversight of the Trusted AI Council and provide leadership and direction where necessary, including through a delegate body. • Manage escalations from the Trusted AI Council, as required. • Formally endorse key AI strategic initiatives such as the firm's AI Strategy and significant supporting investments.
Trusted AI Council	• Oversee and monitor AI-related strategies, policies, and implementation within the firm, ensuring alignment with the Trusted AI Framework. • Ensure continuous monitoring of the strategic landscape and updating policies and processes to reflect changing regulations and technological progress. • Monitor that AI solutions for <i>internal usage</i> are subject to impact assessments in adherence with the Trusted AI Framework and the wider technology risk approval process. • Monitor that AI solutions being built for <i>repeatable usage across multiple clients</i> (Solutions i.e., are not bespoke one-off builds) are subject to impact assessments in adherence with the Trusted AI Framework and the wider technology risk approval process. • Monitor that <i>one-off AI solution builds</i>, as part of client engagements, undergo review and approval by the Trusted AI Lead (via the firm's Engagement Risk Assessment process). • Monitor the performance and societal and technical implications of aligned AI solutions deployed by the firm. • Resolve critical Trusted AI issues escalated to the Trusted AI Council (from across the firm), ensuring mandatory attention and action as per the relevant protocols and procedures. • Develop a governance framework to manage any AI-related risk, ethics and deployment, consistent with the firm's values and stakeholder expectations.

Role	Responsibilities
	• Govern the continuous improvement in the organisation specifically in the management of AI solutions.
AI Enablement Hub	• Work with the KPMG Australia AI Lead to execute, customise, and action the Global AI Strategic Framework for the local firm's needs. • Drive alignment across divisional teams, the global AI team and KPMG Australia. • Ensure AI services are marketed and sold in alignment with global functional plans, maintaining responsibility for the strategies employed. • Expedite AI client use cases by establishing and promoting reference clients. • Own the learning strategy and responsible for training, awareness, and adoption of trusted AI principles in practice. • Enhance service delivery by using global AI resources and adapting tools and guidelines for KPMG Australia. • Drive the utilisation of globally approved tools and environments within the local firm. • Manage quality assurance for AI solution creation and deployment locally. • Focus on continuous improvement of AI applications within the firm.
Audit, Finance & Risk Committee	As relevant to KPMG's AI management, responsibilities include: • Review the effectiveness of internal and external audit processes • Monitor the implementation of audit recommendations • Review the organization's risk management framework and policies • Monitor key strategic, operational, financial and compliance risks Ensure appropriate internal controls are in place and functioning effectively.
Global AI Leadership	• Provide guidance to KPMG Australia on the global strategic framework guiding all member firms, ensuring compliance and adherence to unified standards. • Guide the Global strategic direction for all Functional Centres of Excellence (e.g., Advisory, Tax, Audit) and Member Firm AI Enablement Hub (e.g., KPMG Australia) activities to ensure they operate cohesively and align with the overarching objectives. • Provide executive sponsorship and orchestration for Centres of Excellence (CoE), ensuring active leadership and strategic alignment with the organisation's goals.
KPMG Australia AI Lead	• Establish and align KPMG Australia's AI strategy and goals with the overarching global AI strategic principles, framework, and initiatives, while also accommodating local requirements and regulations. • Apply and drive an "AI First" approach across the firm actively promoting and integrating AI as a fundamental aspect of the firm's strategic and operational initiatives. • Proactively engage with the Global AI Leadership to resolve challenges, orchestrate AI-related events, and lead the cultural transformation towards an 'AI First' mindset within the organisation.

Role	Responsibilities
	• Maintain responsibility for the creation and continuous improvement of the firm's AI Policy to reflect evolving industry standards and best practises. • Foster collaboration with business sponsors to co-create and develop AI driven services and solutions. • Drive AI innovation and growth across business division
Trusted AI Lead	• Implement research-based Trusted AI best practises to establish and uphold KPMG's position as a leader in AI. • Provide comprehensive AI training to staff and guide stakeholders in the execution of the Trusted AI framework. • Act as the definitive AI consultant, offering essential advice and direction to stakeholders across the firm. • Collaborate globally with other KPMG entities to synchronise and improve Trusted AI methods. • Foster strategic partnerships to reinforce leadership in Trusted AI with substantial programs and partner knowledge. • Offer expert guidance in the realm of Trusted AI, representing KPMG to internal and external audiences, including industry events and forums. • Accountable for the testing standard as part of risk assessment process for any new AI Solution.
AI Governance Manager	• Manage and maintain the firm's Artificial Intelligence Management System (AIMS) in alignment with ISO/IEC 42001:2023 standard, relevant regulations, and the organisation's AI strategy. • Collaborate with key stakeholders, including the Trusted AI Council, AI Delivery, and Risk teams, to ensure effective operation of the AIMS, providing strategic guidance and escalating risks as necessary. • Oversee audit and certification processes, coordinating with internal and external auditors for ISO certification audits, preparing stakeholders for engagement, and ensuring timely remediation of audit findings. • Lead continuous improvement initiatives for the AIMS by identifying opportunities, planning and coordinating enhancements, and integrating feedback from audits and stakeholders to address risks and drive innovation.
Ethics Champions and Ambassadors	• Guide and support all employees and partners in discussing ethical concerns, navigating dilemmas, or escalating conduct-related matters in a secure and confidential setting. Ethics Champions Network
AI Solution Product Manager	• Define and execute a compelling product vision, roadmap, and a set of objectives and key results for aligned AI solutions. • Guide the solution through the Technology Risk review process (Onboarding a technology solution (sharepoint.com)).
AI Solution Custodian	• Ensure aligned AI solution(s) consistently enable client needs, strategic business objectives, comply fully with all applicable legislation, Trusted AI and Risk principles.

Role	Responsibilities
	- Review and approve solutions in alignment with the AI principles and pillars. - Monitor the performance of their AI solution and usage of the Solution. - Ensure aligned AI solutions comply with the firm's policies. - Ensure aligned AI Solutions are accurately reflected in the firm's asset inventory. - Engage Technology & Information Risk Management when the AI solution is decommissioned or there is a change in use case.
Sponsoring Partner/Business Sponsor	- Accountable for solution being onboarded. - Accountable for ensuring aligned AI solutions comply with the firm's policies. - Accept key risks associated with the AI Solution.
AI Librarian	- Source, curate, and manage high-quality datasets that are crucial for the development of aligned AI solutions while obtaining key permissions for IP and privacy. - Establish and manage an AI solutions and dataset registry, sourcing and organising data, and ensuring quality and structure for project use. - Verify and ensure accuracy of data by interplaying the new AI Solutions data requirements with existing data standards and guidelines. - Manage knowledge sharing by documenting AI datasets, including sources and annotations, while maintaining an AI Solution repository to foster collaboration and component reuse across the organisation. - Coordinate with teams on data needs for AI solutions and communicates AI value and limitations to stakeholders. - Monitor the outputs of AI solutions for accuracy and completeness.
Partners	- Make considerations for AI, and the firm's AI Policy, as a part of their accountabilities assisting the NEC and Trusted AI Council in fulfilling their responsibilities. - Be aware of the AI solutions being proposed for usage within their team. The Partner is accountable for the actions of their teams.
Engagement Lead	Be aware of the AI solutions being proposed for usage within their team.
Employees, contractors & subcontractors	- Familiarise themselves with this Policy (and all other policies) and the supporting strategies, processes and plans that affect their respective workplace activities. - Report and escalate all events, risk concerns, issues, breaches and instances of non-compliance with Policy. - Ensure they use AI in accordance with all relevant policies and standards set by KPMG.

Learnings - For role appropriate training or to upskill or learn more about AI, employees will need to undergo training appropriate to their role and competencies with the respect to their use and/or development of the AI solutions.

- [Learning policy](#)
- [Digital and Data Learning Hub](#)
- [AI Academy](#)

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6. AI Solutions

AI Solution is another variant of [Solutions](#) at KPMG. AI Solutions will be subject to established processes for developing, procuring, or onboarding like any other Solution. In addition to the standard processes, additional steps will be included in the process to ensure alignment with existing frameworks, the trusted AI framework and KPMG's risk appetite.

The below provides the high-level processes involved for AI Solutions.

6.1 Approach to AI Solutions

The following steps are a guide to using an AI solution (built by KPMG or Commercial Off The Shelf (COTS)):

- Use only KPMG Australia approved solutions. To verify the solution is approved - [KPMG AU Technology Solutions Register \(sharepoint.com\)](#). Verify the use case listed in the KPMG approved solution register is consistent, if not reach out to TIRM.
- Make yourself familiar with The Acceptable Use Policy (AUP) - [Acceptable use policy \(sharepoint.com\)](#).
- Adhere to [data classification standards](#), [data guidelines](#) and the [KPMG AU Data Management and Governance Handbook](#).
- In the case of COTS, if your AI tool has not been approved for use, please engage with [Procurement](#), and ensure adequate quality and risk management for AI solutions, in alignment with TIRM processes and the [Global Quality and Risk Management Manual](#).

6.2 Approach to a new build for internal use or to support client delivery

For any new AI Solution being developed (build) by KPMG Australia the following steps are applied.

- **Solution Delivery Lifecycle (SDLC)** – The SDLC framework outlines and guides the standard processes and methodologies including governance. The high-level phases of SDLC include Discover, Define, Deliver (which includes Build and Test), Launch and Grow (ongoing Monitoring)

Link – [CTG SDLC framework](#)

- **Technology risk assessment (TRA)** – (New repeatable technology solution being developed)
- For developing an AI technology solution, the technology risk assessment process must be followed, including the assessment of any AI-related risks and mitigations.

Link - [Building a technology solution](#)

- **Transparency and client communications** –
- All proposals for engagements in which AI will be used to deliver services are required to include language disclosing the use of AI.

Link – [AI Disclosure Language & Guidance](#)

- **Monitoring & Governance** – AI solutions should be subject to ongoing monitoring on regular intervals for their ongoing adherence to the Trusted AI Framework on regular intervals.

6.3 Approach to a new build for a client

For any new AI Solution being developed (build) by KPMG Australia for client the following steps are applied.

- **Engagement Risk Assessment (ERA)** – If the solution is being built for client delivery an ERA is completed, which includes questions on AI. The ERA is considered during the tech risk assessment process. [CEAC \(Client & Engagement Acceptance & Continuance\) information](#)
- **Tech risk assessment (TRA)** – The tech risk assessment process is mandatory if the technology solution is repeatable (repeatable is where the technology solution is used for more than one engagement). [16.6.4 Review of new or significantly modified Technology Solutions](#)

6.4 Approach to Third Party Providers

Existing third-party processes will apply to AI solutions, with necessary updates to reflect AI specific considerations. A third-party is considered to be providing AI products and services, including in the following circumstances:

- New Build with or onboarding of a Third Party
- Contingent workforce (Sub-contractors & Third party for specific engagement)

In addition to the above steps (SDLC, TRA and Monitoring & Governance) the below process must be followed (this is a high-level process – further processes may be included based on the solution being onboarded)

- **New Build with or Onboarding of Third Party:**
 - **Procurement Process** – The procurement process can vary in complexity depending on the type of goods or services being acquired. The [Procurement Policy](#) outlines the minimum requirements, roles and responsibilities in the procurement process, including:
 - **Selection guide** – follow the vendor selection guide and ensure alignment to KPMG's Trusted AI Principles and Values. [Guides - Vendor selection guide for technology solutions - how to guide - All Documents \(sharepoint.com\)](#)
 - **Supplier Due Diligence Questionnaire (SDDQ)** – This form is completed, which includes the use of AI. More information on the procurement process. [Procurement and vendor management \(sharepoint.com\)](#)
 - **Sentinel approval number (SAN)** - must be obtained for all technology procured from third parties to assess threats to Audit Independence.
 - **Third Party Risk Assessment (TPRA)** – When onboarding a third party if AI is used the TPRA is applicable. Any use of AI by existing third parties will be assessed as part of the monitoring process.
- **Contingent Workforce**

A contingent workforce includes sub-contractors or third party for specific engagement. People & Inclusion (P&I) own the contingent workforce process. This AI Policy is applicable to the contingent workforce. [Contingent workforce policy \(sharepoint.com\)](#)

6.5 Approach to Pilot Builds

The pilot playbook is used for facilitating experimentation of solutions and to testing commercial builds, whether for internal KPMG purposes or for clients. Additional guardrails for AI Solutions may apply. [Piloting-Technology-How-to-Guide](#)

7. Data Management

7.1 Use of data in AI solutions

All KPMG data, including data used in AI solutions, is subject to existing policies governing the sourcing, management, retention, and disposal of data at KPMG._

- Data to be used in AI solutions must be identified and classified by the data owner according to its level of confidentiality. [Data classification standard \(sharepoint.com\)](#).
- The confidentiality of KPMG and client data must be adequately maintained to ensure compliance with professional and contractual obligations. [Confidentiality at KPMG policy \(sharepoint.com\)](#).
- The use of KPMG data and intellectual property in AI solutions must adhere to the Acceptable Use Policy (AUP) [Acceptable use policy \(sharepoint.com\)](#).
- The KPMG Document Management Policy outlines roles and responsibilities for the management of engagement and business support documents. [Document management policy \(sharepoint.com\)](#).
- The KPMG document retention schedule states how long certain documents must be retained before destruction or deletion. [Document retention schedule - guidelines \(sharepoint.com\)](#).
- The KPMG AU Data Management and Governance Handbook documents the principles for the governance and management of data at KPMG. [KPMG AU Data Management and Governance Handbook](#).
- A Privacy Impact Assessment is required where an AI solution processes or handles personal information.
- The Privacy Policy states that any engagement that KPMG undertakes, needs to conduct a privacy impact assessment completed, [KPMG Privacy Policy - KPMG Australia](#). Privacy must also be consulted when a new data source is added for generative AI usage. [Privacy \(ServiceNow\)](#).
- An AI impact assessment is required for each new AI solution – [Tech Risk Consultation](#).
- All KPMG data and information should be kept secure in alignment with the [Global Information Security Policy](#).

In addition, apply KPMG's Trusted AI Framework in the use of data in AI solutions to ensure AI solutions are designed, built, deployed and used in a responsible and ethical manner with consideration given to data quality, data preparation, data minimalization, data lineage and provenance, data bias, data rights and sovereignty, data monitoring.

7.2 Use of KPMG data by Third Parties

KPMG takes appropriate measures to protect the data it holds from misuse, interference, and loss, as well as unauthorised access, modification, or disclosure in accordance with the existing privacy, security and confidentiality policies. Appropriate measures that must be implemented to safeguard against risks posed by disclosing data to third parties, include:

- A periodic review of contractual clauses in third party contracts, to ensure risks associated with the third party are adequately defined and documented.
- Undertaking periodic and ongoing third-party risk monitoring and assurance activities.

- Implementing a formalised and documented offboarding process for third party suppliers to ensure KPMG data is either securely destroyed or returned to KPMG post termination of the contractual agreement.
 - [KPMG Privacy Policy - KPMG Australia](#)
 - [Confidentiality at KPMG policy](#)
 - [KPMG Australia Subcontractor Security Requirements](#)
 - [Contingent workforce sub-contractor](#)
 - [Procurement and vendor management](#)
 - [Procurement policy \(sharepoint.com\)](#)

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8. Decision Making and Escalation Process

8.1 Decision making framework

The ethical decision-making framework, [R.I.G.H.T](#), has been adopted by KPMG to provide Partners, employees, contractors and subcontractors with an easy to use, evidence-based and standardised approach to making ethical decisions. The R.I.G.H.T framework consists of five steps:

- **Recognise:** Recognise that there is an ethical decision to make and being clear on what the challenge at hand is.
- **Identify:** Identify options to resolve the issue. Consider alternatives by walking through the options that maybe available, gather additional information and short the most viable options.
- **Grapple:** Reflect on whether the options identified uphold our collective commitment to our client, colleagues, and community. Assess each option against our code of conduct, values, and firm policies as well as applicable law.
- **Highlight:** For the option selected investigate potential risks and identify ways to mitigate them. Reflect on pressures and biases that may be impacting you as a decision maker.
- **Take Action:** Reach a conclusion, summarise your decision and justify it. Pause to consider your decision before you act and ensure you can fully explain your choice and rationale.

More details on ethical decision-making framework – [R.I.G.H.T Framework](#).

8.2 Escalation Process

To raise an operational issue related to technology, AI Solution failure or security breach, please follow the existing Incident Management Process – [CTG's Technology Services – log a new ticket - Employee Center \(service-now.com\)](#).

To raise a concern about the firms trusted use and application of AI, first determine if the concern or issue is an ethical issue or a risk management issue.

1. For an ethical issue, reach out to the Ethics Champions Network. For a risk management issue, follow the existing process for resolution;
2. For any concerns or decisions that require further escalation, the individual raising the concern, the Ethics Champion Network or risk personnel should contact the Trusted AI Lead. The Trusted AI lead

will address the concern by applying the Trusted AI Framework;

3. If required, the Trusted AI lead will table the concern at the Trusted AI Council for review and remediation.
4. If no decision is agreed by the Trusted AI Council the concern will be brought to the NEC by the Trusted AI Council co-chairs (Trusted AI Lead & AI Lead) for a final decision.

While addressing a concern, it is the duty of the person addressing the concern to use the ethical decision-making framework, [R.I.G.H.T.](#) framework.

To report a concern about the firm's use and application of AI, including across our operations and supply chains, where there has been a suspected breach of the Human Rights Policy or [Respect@Work](#) policies, follow the steps outlined in the:

- [Complaint Management Policy](#) – for unacceptable behaviour in the workplace, including bullying, harassment, discrimination, or professional misconduct;
- [Whistleblower Policy](#) – for any suspected or actual wrongdoing, misconduct or impropriety (including conduct that is dishonest, corrupt, illegal or unethical, or concealment of such conduct); or
- contact the Ethics Champions Network to discuss ethical concerns, navigate dilemmas, or escalate conduct-related matters in a secure and confidential setting.

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9. Governing and Reporting of Artificial Intelligence Management System

9.1 Reporting Interval

The Trusted AI Council will:

- review and guide the implementation of this Policy quarterly.
- regularly update the NEC on AI progress, new requests, challenges, key decisions, and action plans.

9.2 Annual Internal Audit of AI Management System (AIMS)

The Trusted AI Council must conduct an annual review of the AI Management System.

KPMG conducts internal audits annually to assess whether the AIMS procedures, controls and processes:

1. Conform to the requirements set out in the ISO42001:2023.
2. Conform to applicable regulations and policies.
3. Are effectively designed and implemented.
4. Meet KPMG's Policy requirements and set objectives.

9.3 Continuous improvement

The findings from the internal audit will be presented to the Trusted AI Council for management review. The Trusted AI Council will agree to suggested steps to remediate the findings, improve and uplift the AIMS.

10. Policy Review and Update

10.1 Policy Review

- This Policy must be reviewed, at minimum, every 12 months or sooner if there is a significant change to the firm and/or operational context for this Policy.
- All new partners and employees will be advised of this Policy as part of the induction process.
- Persons nominated as having specific responsibilities associated with this Policy will be advised of any amendments to it.
- Should amendments to this Policy require updates to subordinate documents, those updates will be communicated.

10.2 Policy Update

- Any change in factors effecting the AI Policy will be considered and necessary steps will be taken to update the Policy in a timely way.
- Any Policy updates will be reported to the Trusted AI Council for approval prior to publication.
- In delivering on the Policy, KPMG is committed to a program of continual improvement and will set targets, measure progress against them and share progress with stakeholders.

11. Communication and Engagement

11.1 Internal Communications

- The Policy will be published on the intranet alongside the firm's other policies.
- Communications will be sent firm-wide when the Policy is available on the intranet.
- For transparency, it must be clearly communicated to Partners, employees, contractors and subcontractors when they are interacting with an output from an internal AI solution.

11.2 External Communications

The Policy is an internal working document and will not be made public. As a tool in the firm's responsible and ethical approach to AI, however, the fact that KPMG has an AI Policy and its objectives may be shared, including with clients and other external stakeholders.

^ 12. Appendix

12.1 Glossary

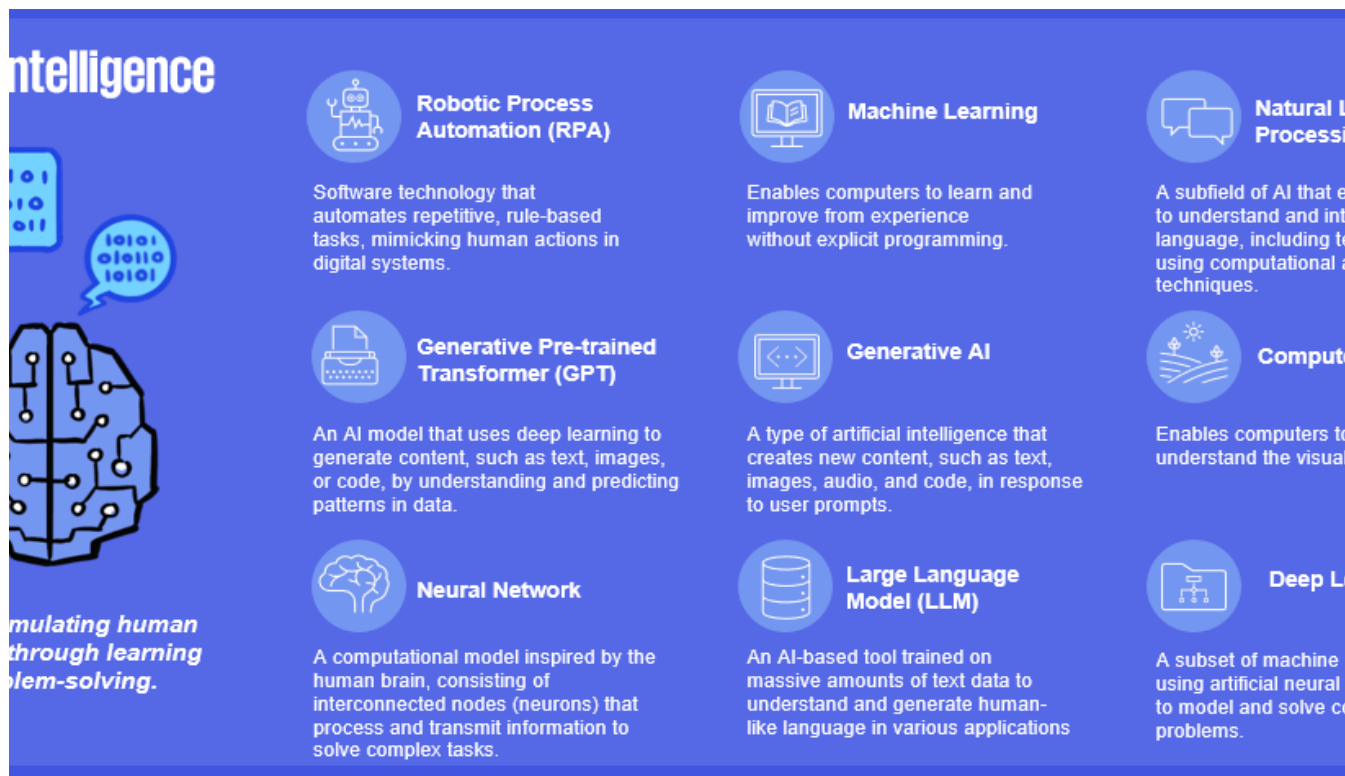
12.1.1 Artificial Intelligence (AI)

Artificial intelligence (AI) is a collective term for machine-based or digital systems that use machine or human-provided inputs to perform advanced tasks for a human-defined objective, such as producing predictions, advice, inferences, decisions, or generating content. Some AI solutions operate autonomously and can use machine learning to improve and learn from new data continuously. Other AI solutions are designed to be subject to a 'human at the helm' who can approve or override the solutions outputs. AI solutions can be custom developed for a specific organisational purpose. Many are embedded in products or deployed by suppliers in upstream or outsourced services.

(Source - Human Technology Institute (HTI) Definition of AI)

Common types of AI:

- **Robotic Process Automation (RPA) for AI Solutions:** Software technology that automates repetitive, rule-based tasks, mimicking human actions in digital AI Solutions.
- **Generative Pre-trained Transformer (GPT):** An AI model that uses deep learning to generate content, such as text, images, or code, by understanding and predicting patterns in data.
- **Neural Network:** A computational model inspired by the human brain, consisting of interconnected nodes (neurons) that process and transmit information to solve complex tasks.
- **Machine Learning:** Enables computers to learn and improve from experience without explicit programming.
- **Generative AI:** A type of AI that creates new content, such as text, images, audio, and code, in response to user prompts.
- **Large Language Model (LLM):** An AI-based tool trained on massive amounts of text data to understand and generate human-like language in various applications.
- **Natural Language Processing:** A subfield of AI that enables computers to understand and interpret human language, including text and speech, using computational and statistical techniques.
- **Computer Vision:** Enables computers to interpret and understand the visual world.
- **Deep Learning:** A subset of machine learning using artificial neural networks to model and solve complex problems.



12.1.2 AI system (AI Solution)

As per ISO standard ISO22989 - Artificial intelligence system is engineered system that generates output such as content, forecasts, recommendations, or decisions for a given set of human defined objectives. The engineered system can use various techniques and approaches related to artificial intelligence to develop a model to represent data, knowledge, process etc. which can be used to conduct tasks.

In other words, Artificial intelligence system may be defined as a set of technologies used to perform a variety of advanced functions, solve problems autonomously and perform task to achieve defined objectives with specific instructions.

12.1.3 AI Management System

The AI Management System (AIMS) establishes the framework for the responsible development, provision, and use of AI systems within KPMG. It outlines a set of interrelated and interacting guardrails, processes, and policies to manage the risks and opportunities associated with AI systems.

12.1.4 Third Party Solutions

A third-party AI solution refers to an artificial intelligence system or service that is developed by an external company or entity, which KPMG will be using. Third-party solutions are created by specialised firms with expertise in AI technologies and are provided to other businesses or individuals under a licence or through a service agreement.

12.1.5 List of Acronyms

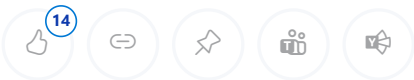
Acronyms	Details
AI	Artificial Intelligence
AIMS	Artificial Intelligence Management System
AUP	The Acceptable Use Policy
CoE	Centre of excellence
COTS	Commercial Off The Shelf
CTG	Connected Technology Group

Acronyms	Details
ERA	Enterprise Risk Assessment
NEC	National Executive Committee
R.I.G.H.T.	Recognise, Identify, Grapple, Highlight, Take Action
RPA	Robotic Process Automation
SAN	Sentinel Approval Number
SDDQ	Supplier Due Diligence Questionnaire
SDLC	Solution Delivery Lifecycle
TIRM	Technology and Information Risk Management
TPRA	Third Party Risk Assessment
TRA	Technology Risk Assessment

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Amendment history

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Trusted AI

This policy has been approved by:



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Chief Digital Officer

Resources

Australian Quality & Risk Management Manual
Brand Central

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